

SENATE BILL 2125

By Bailey

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 47 and Title 67, relative to tickets.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 67, Chapter 6, is amended by adding the following as a new part:

67-6-1001. Short title.

This part is known and may be cited as the "Tennessee Live Music Support Act."

67-6-1002. Part definitions.

As used in this part:

(1) "Live music and performance event" means a non-sports-related event centered around live music, electronic music, comedy, dance, theater, or other creative performance;

(2) "Live music support assessment" means the surcharge established in § 67-6-1003;

(3) "Secondary ticketing market" means the resale or exchange of tickets to live music and performance events occurring in this state, by any individual or entity other than the original ticket issuer or authorized primary seller;

(4) "Third-party ticket reseller" means an individual, firm, corporation, or other entity that:

(A) Engages in the business of reselling tickets to a place of entertainment;

(B) Operates an internet website or other electronic service that provides a mechanism for two (2) or more parties to participate in a resale transaction;

(C) Facilitates resale transactions by means of an auction; or

(D) Maintains an office, branch of an office, bureau, agency, or other entity for purposes of engaging in the business of reselling tickets to a place of entertainment; and

(5) "Ticket" means a form of admission, whether paper, digital, or otherwise, sold for entry to a live music and performance event, including season tickets and multi-day events, located in this state.

67-6-1003. Imposition of live music support assessment — Registration.

(a) Beginning July 1, 2027, a live music support assessment of five percent (5%) must be assessed on the sales price of all tickets sold at retail through the secondary ticketing market for any live music and performance event occurring within this state.

(b) The assessments levied under this section are due and payable monthly on the first day of each month, and for the purpose of ascertaining the amount of assessments payable under this section, all third-party ticket resellers shall, on or before the twentieth day of each month, transmit to the commissioner of revenue, upon forms prescribed, prepared, and furnished by the commissioner, returns showing the gross sales arising from all sales subject to the assessment under this section during the preceding calendar month.

(c) The department of revenue shall impose the assessment on the third-party ticket resellers and shall not impose the assessment directly on any individual user. Each third-party ticket reseller shall register with the department for the collection and remittance of the assessment levied pursuant to this section.

67-6-1004. Administration — Distribution of funds.

(a) The department of revenue shall collect and administer the assessment established under this section.

(b) The funds must be deposited into the live music and performance venue fund created by § 4-3-5007, less any costs for the administration and enforcement of this assessment, and must be used solely for the purposes outlined by § 4-3-5007 for that fund, including economic development support grants for live music and performance venues, promoters, and performers.

67-6-1005. Penalties for noncompliance.

A third-party ticket reseller that fails to collect and remit the live music support assessment to the department of revenue is subject to penalties and interest pursuant to §§ 67-1-801 – 67-1-804.

67-6-1006. Rules.

The department of revenue may promulgate rules to effectuate this part. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. For purposes of promulgating rules and forms, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect April

1, 2027, the public welfare requiring it, and applies only to assessment collection periods beginning on or after July 1, 2027.